

INDUSTRY SIZE

$45-50
BILLION
(₹4.1-4.6 lakh crore)
Semiconductor market

$130
BILLION
(₹11.3 lakh crore)
Electronics production

BUDGET ALLOCATION

₹1,000
CRORE
For FY27; total outlay awaited

Electronics Components Manufacturing Scheme outlay increased to ₹40,000 crore from ₹22,919 crore

off the Block

"India Semiconductor Mission 2.0 will have a huge focus on equipment and materials, which are used for manufacturing semiconductors. We would like 50 major design companies to come up in the country"

— ASHWINI VAISHNAW
Minister of Electronics and Information Technology



As the first of the semiconductor facilities at Sanand, the country's new silicon chip hub in Gujarat, gets set to begin commercial production by end-February, marking a major milestone in a high-technology manufacturing sector India has long strived to build, the Union budget outlined the contours of the next thrust with the anncouncement of India Semiconductor Mission (ISM) 2.0.

US-based Micron Technology will roll out chips from its $2.75 billion (Rs 22,516 crore) assembly, test, mark and pack (ATMP) facility, which was among the 10 plants approved under the Rs 76,000 crore ISM launched in 2021. These include, besides Micron, facilities backed by Indian industrial groups such as Tata, Murugappa and HCL. Overall, four outsourced semiconductor assembly and test (OSAT) facilities are expected to start commercial production this year.

With nearly all of the funding for ISM, which supported almost 70 per cent of the cost of a project, fully committed, Union finance minister